Type MS · Market failure, public goods and free riders

Answer 1 of 10 · Question 4 part b · 6 marks

2022 JUN · Paper 01 · extract 1 of 5 · find part b in this mark scheme extract

4(a)	**AO2 2 marks** Award 1 mark for showing correct calculation 408 - (98 + 114 + 107) **(1)** Award 1 mark for correct excess supply = 89 seats **(1)** Award 2 marks if excess supply is correctly calculated as 89 seats even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	Indicative content
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • The free rider problem is when a person enjoys the benefit of a good without paying for it • Street lighting is an example of a public good and it is provided by the government • It is non-excludable, meaning no one can be excluded from its consumption if they had not paid, there would be no reason for private individuals to pay for the street lighting • Consumption of street lighting by one person will not reduce the amount available for others; it has non-rivalry • Therefore, public goods, such as street lighting lead to the free rider problem because they would not be paid for by private individuals and as a result are paid by the government

Type MS · Market failure, public goods and free riders

Answer 1 of 10 · Question 4 part b · 6 marks

2022 JUN · Paper 01 · extract 2 of 5 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Market failure, public goods and free riders

Answer 1 of 10 · Question 4 part b · 6 marks

2022 JUN · Paper 01 · extract 3 of 5 · find part b in this mark scheme extract

Question number	Indicative content
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • A monopoly is a market structure with one dominant seller in the market • KCOM is the only telecoms provider serving Kingston upon Hull, making it a monopoly • As it has no competition, broadband consumers have no choice but to use KCOM's service • This means KCOM can be a price maker for its broadband packages. It is expensive and costs more than anywhere else in England • There is restricted choice in the market, such as areas where fibre optic packages are not available and there are low download limits. This is because there is only one supplier • It may be that KCOM does not have any incentive to spend money on product innovation and some areas do not have access to fibre optics where the broadband is much faster • KCOM may be inefficient because it does not need to keep its costs low in order to compete with other firms **AO4** • However, due to its dominance of the telecoms market in Kingston upon Hull, KCOM may be able to take advantage of economies of scale • This means that the firm may have low (long-run) average costs as a result of purchasing or technical economies of scale • Therefore it is possible that KCOM could decide to pass the lower costs on to the consumer in the form of lower prices • KCOM may also be more efficient because it is not duplicating resources used by competitors • This may have helped KCOM to provide fast fibre optic broadband speeds in some areas of up to 250Mb • KCOM may also be able to innovate due to its lower (long-run) average costs, meaning it may be able to provide high quality television packages when it makes them available • It may depend on the objectives of the monopoly owners whether the firm passes any of its benefits on to the consumer

Type MS · Market failure, public goods and free riders

Answer 1 of 10 · Question 4 part b · 6 marks

2022 JUN · Paper 01 · extract 4 of 5 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Market failure, public goods and free riders

Answer 1 of 10 · Question 4 part b · 6 marks

2022 JUN · Paper 01 · extract 5 of 5 · find part b in this mark scheme extract

Pearson Education Limited. Registered company number 872828
with its registered office at 80 Strand, London, WC2R 0RL, United Kingdom

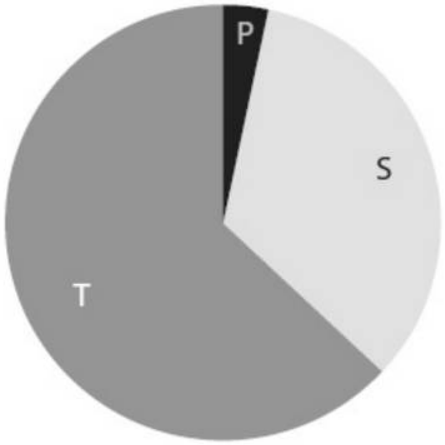
Type MS · Market failure, public goods and free riders

Answer 2 of 10 · Question 2 part d · 1 mark

2019 JUN · Paper 01 (regional R) · extract 1 of 6 · find part d in this mark scheme extract

2(a)	**AO1 1 mark** **C** Maximise profits	**(1)**

Question number	Answer	Mark
2(b)	**AO2 1 mark** **B** Roads	**(1)**

Question number	Answer	Mark
2(c)	**AO2 3 marks**  Award 1 mark for the Tertiary sector (T) being the biggest **(1)** Award 1 mark for the Secondary sector (S) being the second biggest **(1)** Award 1 mark for the Primary sector (P) being the smallest **(1)**	**(3)**

Type MS · Market failure, public goods and free riders

Answer 2 of 10 · Question 2 part d · 1 mark

2019 JUN · Paper 01 (regional R) · extract 2 of 6 · find part d in this mark scheme extract

Question number	Answer	Mark
2(d)	**AO1 1 mark** Award 1 mark for reference to a person using a common resource they have not paid for A person who takes advantage of a common resource without paying for it	**(1)**

Question number	Answer	Mark
2(e)	**AO1 2 marks** Award 1 mark for reference to the reason and 1 mark for development of the reason Congestion causes pollution **(1)** which harms the health of third parties such as pedestrians **(1)** Accept any other appropriate response	**(2)**

Type MS · Market failure, public goods and free riders

Answer 2 of 10 · Question 2 part d · 1 mark

2019 JUN · Paper 01 (regional R) · extract 3 of 6 · find part d in this mark scheme extract

Question number	Answer	Mark
2(f)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in the context of health care • One reason is that there may not be enough doctors available in the public sector to administer the vaccination **(1)** meaning pharmacies in the private sector are needed to help meet the high demand **(1)** if the government is to fulfil its aim of protecting the vulnerable groups **(1)** Accept any other appropriate response	**(3)**

Type MS · Market failure, public goods and free riders

Answer 2 of 10 · Question 2 part d · 1 mark

2019 JUN · Paper 01 (regional R) · extract 4 of 6 · find part d in this mark scheme extract

Question number	Indicative content
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Private benefits + external benefits = social benefits • The flu injection is given to the most vulnerable groups because they are more likely to require further healthcare if they became ill from flu • This further healthcare would also be a cost to the UK Government, and so it may be cheaper to prevent the problem with the vaccination in the first place • By reducing the number of people who become ill from the flu, further health care costs may be avoided as there is less risk of the illness spreading • By keeping people healthy, they are more likely to be able to continue working and contribute to the output of the economy **AO4** • The money spent on the vaccinations could be used for other healthcare needs • It may be difficult to distinguish between the groups most in need of the vaccination, so not everyone receives the injection • The vaccination may not work so health care costs may still rise • It is difficult to quantify the costs and external benefits • It depends on other factors whether people become ill

Type MS · Market failure, public goods and free riders

Answer 2 of 10 · Question 2 part d · 1 mark

2019 JUN · Paper 01 (regional R) · extract 5 of 6 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Market failure, public goods and free riders

Answer 2 of 10 · Question 2 part d · 1 mark

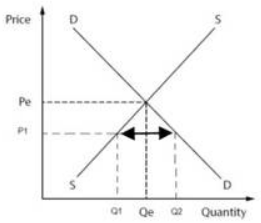
2019 JUN · Paper 01 (regional R) · extract 6 of 6 · find part d in this mark scheme extract

Question number	Answer	Mark

Type MS · Market failure, public goods and free riders

Answer 3 of 10 · Question 2 part g · 3 marks

2020 JAN · Paper 01 · extract 1 of 6 · find part g in this mark scheme extract

2(a)	**AO2 1 mark** **A**  	**(1)**

Question number	Answer	Mark
2(b)	**AO1 1 mark** **B** A factor of production	**(1)**

Question number	Answer	Mark
2(c)	**AO1 1 mark** Award 1 mark for correct formula in words/as an equation Total revenue minus total costs	**(1)**

Question number	Answer	Mark
2(d)	**AO2 2 marks** Award 1 mark for showing correct calculation 36 ÷ 30 **(1)** Award 1 mark for correct price elasticity of supply (PES) = 1.2 **(1)** Award 2 marks if PES is correctly calculated as 1.2, even if no calculations are shown Do not award marks for the formula	**(2)**

Type MS · Market failure, public goods and free riders

Answer 3 of 10 · Question 2 part g · 3 marks

2020 JAN · Paper 01 · extract 2 of 6 · find part g in this mark scheme extract

Question number	Answer	Mark
2(e)	**AO1 1 mark** Award 1 mark for reference to money used by a business Funding for a firm Accept any other appropriate response	**(1)**

Question number	Answer	Mark
2(f)	**AO1 2 marks** Award 1 mark for the type of business competition and 1 mark for development of the response The Irish Artisan Charcoal Company (IACC) is a monopoly **(1)** as there are no other firms producing charcoal in Ireland **(1)** Accept any other appropriate response	**(2)**

Type MS · Market failure, public goods and free riders

Answer 3 of 10 · Question 2 part g · 3 marks

2020 JAN · Paper 01 · extract 3 of 6 · find part g in this mark scheme extract

Question number	Answer	Mark
2(g)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in the context • One reason is that public goods are non-excludable **(1)** meaning that everyone walking/driving along the street would benefit from the lighting **(1)** whether or not they pay anything towards it through taxes **(1)** • One reason is that there is non-rivalry for public goods **(1)** meaning that one person walking/driving along the street is not preventing another person from benefitting from street lighting **(1)** whether or not they pay anything towards it through taxes **(1)** Accept any other appropriate response	**(3)**

Type MS · Market failure, public goods and free riders

Answer 3 of 10 · Question 2 part g · 3 marks

2020 JAN · Paper 01 · extract 4 of 6 · find part g in this mark scheme extract

Question number	Indicative content
2(h)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Small firms can offer a personal service so they can meet the needs of the customer more specifically than large firms • Wonderful Wax produces handmade candles and so the personal service offered maybe more likely to attract customers, bringing in more sales • The service offered by Elissa's small firm could cater for a niche part of the market and so some customers may pay higher prices for the candles • By operating a small firm, Elissa is able to maintain control of her business and help the environment by producing candles made with soy wax and essential oils • Increasing production of the candles may mean they can no longer be handmade and Wonderful Wax may lose its identity **AO4** • However, small firms may struggle to meet demand and so may lose customers • Wonderful Wax could potentially sell many more environmentally-friendly candles through use of the production facilities on offer, thus further meeting Elissa's original objective to help the environment • Unit costs of a small firm are likely to be higher as it cannot exploit economies of scale and therefore the profits might be lower • A large firm is more likely to be able to compete should other firms set up selling environmentally-friendly candles

Type MS · Market failure, public goods and free riders

Answer 3 of 10 · Question 2 part g · 3 marks

2020 JAN · Paper 01 · extract 5 of 6 · find part g in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Market failure, public goods and free riders

Answer 3 of 10 · Question 2 part g · 3 marks

2020 JAN · Paper 01 · extract 6 of 6 · find part g in this mark scheme extract

Question number	Answer	Mark

Type MS · Market failure, public goods and free riders

Answer 4 of 10 · Question 2 part c · 1 mark

2021 JUN · Paper 01 · extract 1 of 6 · find part c in this mark scheme extract

2(a)	**AO2 1 mark** The only correct answer is: **C** Y -0.5 A is not correct because it shows elastic demand B is not correct because this shows unitary elasticity D is not correct because the responsiveness is equal	**(1)**

Question Number	Which **one** of the following is the formula for calculating average cost? Answer	Mark
2(b)	**AO1 1 mark** The only correct answer is: Total cost **C** ---------- Quantity produced A is not correct because not only fixed cost is included B is not correct because revenue is not used in this calculation D is not correct because not only variable cost is included	**(1)**

Question Number	State **one** reason why governments intervene in the economy. Answer	Mark
2(c)	**AO1 1 mark** Award 1 mark for a suitable reason • To correct market failure • Lack of competition • Lack of information Accept any other appropriate response	**(1)**

Type MS · Market failure, public goods and free riders

Answer 4 of 10 · Question 2 part c · 1 mark

2021 JUN · Paper 01 · extract 2 of 6 · find part c in this mark scheme extract

Question Number	Calculate the **profit or loss** for the firm for each pair of shoes. You are advised to show your working. Answer	Mark
2(d)	**AO2 2 marks** Award 1 mark for showing correct calculation $89 - ($17 + $35) **(1)** Award 1 mark for correct profit = $37 **(1)** Award 2 marks if profit is correctly calculated as $37, even if no calculations are shown Award 1 mark if the answer given is 37 with or without calculations shown Do not award marks for a formula	**(2)**

Question Number	Define the term fine. Answer	Mark
2(e)	**AO1 1 mark** Award 1 mark for a correct definition A financial penalty Accept any other appropriate response	**(1)**

Question Number	Describe **one** benefit to consumers of privatisation. Answer	Mark
2(f)	**AO1 2 marks** Award 1 mark for reference to the benefit and 1 mark for development of the benefit Firms are likely to offer lower prices **(1)** because they are trying to attract custom away from competitors **(1)** Accept any other appropriate response	**(2)**

Type MS · Market failure, public goods and free riders

Answer 4 of 10 · Question 2 part c · 1 mark

2021 JUN · Paper 01 · extract 3 of 6 · find part c in this mark scheme extract

Question Number	Explain **one** reason why Microsoft might have patents on its designs. Answer	Mark
2(g)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is that it would prevent competitors copying the designs **(1)** meaning Microsoft could charge higher prices to help recover the cost of research and development **(1)** needed to create the new computer software **(1)** Accept any other appropriate response	**(3)**

Type MS · Market failure, public goods and free riders

Answer 4 of 10 · Question 2 part c · 1 mark

2021 JUN · Paper 01 · extract 4 of 6 · find part c in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess whether a firm, such as a fast food restaurant, always benefits from using division of labour. Indicative content
2(h)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Division of labour is where the production process is split into small tasks • It means that each worker can specialise on a single part of the production process, such as chopping lettuce to put in burgers or peeling potatoes to make the fries • This means they can become more skilled at that particular task and removes the need to move around the kitchen as much • Employees are therefore much faster, increasing efficiency and reducing cost per unit for firms • Employees may also enjoy their job more because they are better at it, making them more motivated and increasing productivity • Therefore customers at the fast food restaurants can be served more quickly, in-keeping with the concept of 'fast food' and leading to higher profits for the firm **AO4** • However, employees may find repeating the same task boring, especially if it is something straightforward such as frying burgers • Therefore they may actually become demotivated instead and this could increase staff turnover • This could lead to a decrease in productivity and/or higher costs for the restaurant if it needs to replace employees • Mistakes or slow production at one stage (such as chopping lettuce) may hold up a later stage and therefore customers would still need to wait for their orders

Type MS · Market failure, public goods and free riders

Answer 4 of 10 · Question 2 part c · 1 mark

2021 JUN · Paper 01 · extract 5 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Market failure, public goods and free riders

Answer 4 of 10 · Question 2 part c · 1 mark

2021 JUN · Paper 01 · extract 6 of 6 · find part c in this mark scheme extract

Question Number	Which **one** of the following factors may cause a shift of the demand curve? Answer	Mark

Type MS · Market failure, public goods and free riders

Answer 5 of 10 · Question 3 part a · 1 mark

2021 NOV · Paper 01 · extract 1 of 7 · find part a in this mark scheme extract

3(a)	**AO1 1 mark** The only correct answer is: **C** Lack of information A is not correct because this will fill skills shortages B is not correct because this will lead to greater efficiency D is not correct because this improves productivity	**(1)**

Question number	Answer	Mark
3(b)	**AO1 1 mark** The only correct answer is: **D** Sales assistant A is not correct because this role is in the primary sector B is not correct because this role is in the secondary sector C is not correct because this role produces primary products	**(1)**

Type MS · Market failure, public goods and free riders

Answer 5 of 10 · Question 3 part a · 1 mark

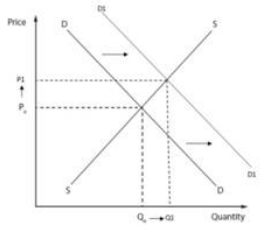
2021 NOV · Paper 01 · extract 2 of 7 · find part a in this mark scheme extract

Question number	Answer	Mark
3(c)	**AO2 3 marks** Award 1 mark for drawing new wage rate, labelled Award 1 mark for new quantity demanded, labelled Award 1 mark for new quantity supplied, labelled  	(3)

Type MS · Market failure, public goods and free riders

Answer 5 of 10 · Question 3 part a · 1 mark

2021 NOV · Paper 01 · extract 3 of 7 · find part a in this mark scheme extract

Question number	Indicative content
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • A demand curve shows how much of a good will be purchased at different prices • Advertising is one of the factors likely to shift a demand curve to the right (increase in quantity demanded) • Possible use of a diagram:  • Worldwide advertising during a popular event, such as an international cricket match, may encourage consumers to purchase Pepsi due to greater awareness and brand loyalty, therefore increasing the quantity demanded • The quantity of Pepsi demanded is likely to have increased as a result of the advertising (from Q_e to Q_1) because consumers of soft drinks may be influenced by the adverts and make an association between Pepsi and the cricket

Type MS · Market failure, public goods and free riders

Answer 5 of 10 · Question 3 part a · 1 mark

2021 NOV · Paper 01 · extract 4 of 7 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Market failure, public goods and free riders

Answer 5 of 10 · Question 3 part a · 1 mark

2021 NOV · Paper 01 · extract 5 of 7 · find part a in this mark scheme extract

Question number	Indicative content
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • The supply of labour is the amount of time a worker is willing and able to work at a given wage rate, over a given period of time • By increasing the retirement age people will have to work longer before they can receive a state pension • In Singapore, 62-, 63- and 64-year-olds will need to continue to work after the change to the age of retirement comes into effect • This means that there will be an increase in the supply of labour • As there are more people living to 80+, this will mean the increase in the retirement age will be effective in increasing the supply of labour **AO4** • However, a higher retirement age may not be the most effective method of increasing the labour supply in the manufacturing sector, which is significant in Singapore • This is because this sector may require younger employees to carry out the roles required within the industry • Other factors such as lowering the school-leaving age, migration or female participation may be more effective • Increasing skills and qualifications of employees may also be more effective, especially if the financial services industry continues to grow in Singapore • This is because the nature of the industry means being skilled in financial services may lead to employees who are able to supply a greater amount of labour than older employees

Type MS · Market failure, public goods and free riders

Answer 5 of 10 · Question 3 part a · 1 mark

2021 NOV · Paper 01 · extract 6 of 7 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Market failure, public goods and free riders

Answer 5 of 10 · Question 3 part a · 1 mark

2021 NOV · Paper 01 · extract 7 of 7 · find part a in this mark scheme extract

Question number	Answer	Mark

Type MS · Market failure, public goods and free riders

Answer 6 of 10 · Question 3 part d · 6 marks

2023 JAN · Paper 01 · extract 1 of 6 · find part d in this mark scheme extract

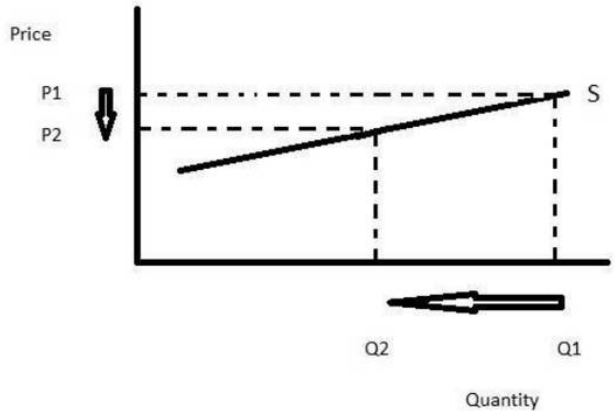
3(a)	**AO1 1 mark** The only correct answer is: **C** Shelter A is not correct because this is an economic want B is not correct because this is a luxury D is not correct because this is not required to sustain life	**(1)**

Question number	Which one of the following is an example of an external benefit? **Answer**	**Mark**
3(b)	**AO1 1 mark** The only correct answer is: **A** Education B is not correct because this is an external cost C is not correct because this is regarded as a disadvantage D is not correct because it has a negative impact on the future	**(1)**

Type MS · Market failure, public goods and free riders

Answer 6 of 10 · Question 3 part d · 6 marks

2023 JAN · Paper 01 · extract 2 of 6 · find part d in this mark scheme extract

Question number	Draw a supply curve on the diagram below that has price elastic supply (PES). Label the impact of a price change from P1 to P2 and its impact on quantity from Q1 to Q2 . **Answer**	Mark
3(c)	**AO2 3 marks** Award 1 mark for drawing elastic supply curve, labelled Award 1 mark for showing smaller price change from P_1 to P_2 on the axis Award 1 mark for showing a greater change in the quantity Q_1 to Q_2 on the axis  	**(3)**

Type MS · Market failure, public goods and free riders

Answer 6 of 10 · Question 3 part d · 6 marks

2023 JAN · Paper 01 · extract 3 of 6 · find part d in this mark scheme extract

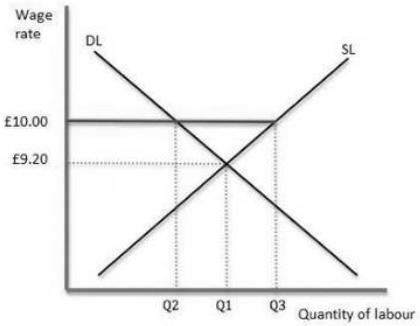
Question number	With reference to the data above and your knowledge of economics, analyse why the UK Government might provide flood defences. **Indicative content**
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Without the government intervention of the flood defence system, the River Calder flooding may continue, causing firms to shut down, residents to lose their homes and an increase in damaged infrastructure • The UK Government made the £32m investment in a flood defence scheme because residents, businesses and infrastructure in Calderdale had repeatedly suffered from flood damage • The UK Government is likely to provide goods and services that the private sector would be unwilling to provide because of the lack of profit • Flood defences in Calderdale are an example of market failure because the private sector is unlikely to provide resources needed to manage the problem in sufficient quantities • Flood defences are an example of public goods that are provided by the government and have characteristics of being non-rivalry and non-excludable • Failure to provide flood defences would increase the need for individuals and firms to rely on the UK Government financially

Level	**Mark**	**Descriptor**
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Market failure, public goods and free riders

Answer 6 of 10 · Question 3 part d · 6 marks

2023 JAN · Paper 01 · extract 4 of 6 · find part d in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess the impact of trade union activity on Morrisons and its employees. **Indicative content**
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • A trade union is an organisation which represents the employees in an industry • It aims to protect workers' rights, increase wages, provide legal assistance, put pressure on governments to legislate in favour of employees and improve working conditions • Trade union, Usdaw negotiated an hourly wage increase for the 110,000 workers at Morrisons supermarkets of nearly 9% • An increase in the wage rate may lead to inefficiency and unemployment • This is because the wage increase at the supermarket will mean higher costs for the firm. It may therefore, try to reduce costs by employing fewer workers • Possible use of a diagram  **AO4** • However, the wage rate increase of at least £0.80 per hour may increase productivity • This means Morrisons may be able to maintain the number of workers it employs because, increased productivity would not result in higher costs due to the wage increase • As Morrisons is a leading supermarket, it may be able to pass some of the higher wage rate costs on to consumers in the form of increased prices • This may depend whether the products sold are price inelastic in demand

Type MS · Market failure, public goods and free riders

Answer 6 of 10 · Question 3 part d · 6 marks

2023 JAN · Paper 01 · extract 5 of 6 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Market failure, public goods and free riders

Answer 6 of 10 · Question 3 part d · 6 marks

2023 JAN · Paper 01 · extract 6 of 6 · find part d in this mark scheme extract

Question number	When the current level of output is 250 units of consumer goods, calculate the opportunity cost of producing an additional 40 units of consumer goods. You are advised to show your working. **Answer**	**Mark**

Type MS · Market failure, public goods and free riders

Answer 7 of 10 · Question 4 part b · 6 marks

2023 JUN · Paper 01 · extract 1 of 4 · find part b in this mark scheme extract

4(a)	**AO2 2 marks** Award 1 mark for showing correct calculation (22,200 + 21,000 + 20,250) - 60,000 **(1)** Award 1 mark for correct excess demand 3,450 **(1)** Award 2 marks if excess demand is correctly calculated as 3,450 even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	With reference to the data above and your knowledge of economics, analyse why the free rider problem has led to the Zambian Government providing the defence force. **Indicative content**
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • The free rider problem is when a person enjoys the benefit of a good without paying for it • The Zambian defence force is an example of a public good as it is provided by the government in Zambia • It is non-excludable, meaning no one can be excluded from benefitting from the defence even if they have not paid for its provision • Having the defence force increases the standard of living for citizens of Zambia but if left to the private sector to provide, individuals would not pay for it • One person benefitting from country's defence will not reduce the amount available for others; it has non-rivalry • Therefore, the free rider problem leads to the need for the provision of defence by the Zambian Government

Type MS · Market failure, public goods and free riders

Answer 7 of 10 · Question 4 part b · 6 marks

2023 JUN · Paper 01 · extract 2 of 4 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Market failure, public goods and free riders

Answer 7 of 10 · Question 4 part b · 6 marks

2023 JUN · Paper 01 · extract 3 of 4 · find part b in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, evaluate the effectiveness of government regulations in dealing with externalities such as air pollution in Greater Manchester. **Indicative content**
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • Government regulation is put in place to reduce the external costs of production and consumption • Drivers of polluting vehicles are less likely to drive in the region, or will need to replace their vehicles when faced with a daily charge of between £7.50 and £60.00 • This is likely to reduce pollution and the negative impact on the environment, therefore reducing negative externalities • The scheme would also raise money for the government, meaning more funding could be available for schemes to benefit the environment • The 800km^2 covered by the CAZ is a very large area, meaning the 1,000+ annual deaths will hopefully be reduced as a result of the scheme • More awareness of the problems caused by vehicle emissions could be gained through adoption of the scheme, leading to better prevention of pollution in the future **AO4** • However, as the proposal will affect many small businesses in the area, their costs will increase considerably • This means that these firms may not be able to afford the tax, such as the ice-cream firm expects costs to rise by £29 000 a year, or to replace its vehicles and may need to pass the charges on to customers • Therefore, some firms may lose business if their customers are unwilling/unable to pay the higher prices • This could lead to firms needing to close down, potentially causing prices to rise for customers in the area anyway, if there is limited competition • It may depend on the value placed on clean air by firms driving the vehicles and by customers, as to whether higher prices will be paid • It may also depend on the profits/income of firms/customers, as to the impact of the charges and therefore whether negative externalities will actually be reduced • There may be better ways to reduce air pollution, such as encouraging people to walk short distances rather than drive

Type MS · Market failure, public goods and free riders

Answer 7 of 10 · Question 4 part b · 6 marks

2023 JUN · Paper 01 · extract 4 of 4 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

1(a)	**AO1 1 mark** The only correct answer is: **D** working conditions A is not correct because trade unions do not focus on the objectives of firms B is not correct because the government does not receive revenue due to trade union actions C is not correct because the environment is not a focus of trade union activity	**(1)**

Question number	Figure 1 below shows a change in demand for tickets to a sporting event. Which **one** of the following statements is true? **Answer**	**Mark**
1(b)	**AO2 1 mark** The only correct answer is: **C** An increase in demand is shown by a shift to the right A is not correct because when the price falls, the quantity demanded rises B is not correct because the demand curve slopes downwards from left to right D is not correct because a decrease in demand is shown by a shift to the left	**(1)**

Question number	What is meant by the term economies of scale? **Answer**	**Mark**
1(c)	**AO1 2 marks** Award up to 2 marks for a correct definition Falling average costs **(1)** due to expansion of the firm **(1)** Accept any other appropriate response	**(2)**

Type MS · Market failure, public goods and free riders

Answer 8 of 10 · Question 1 part i · 6 marks

2023 NOV · Paper 01 · extract 2 of 5 · find part i in this mark scheme extract

Question number	State **one** main feature of an oligopoly. **Answer**	Mark
1(d)	**AO1 1 mark** Award 1 mark for a correct feature • Few firms • Large firms dominate • Different products • Barriers to entry • Collusion • Price competition • Non-price competition Accept any other appropriate response	**(1)**

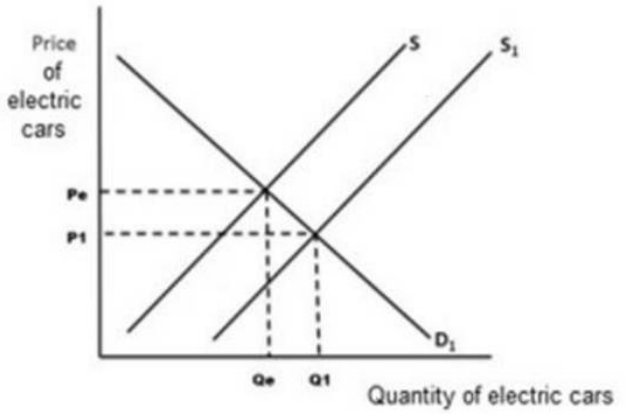
Question number	Define the term excess supply **Answer**	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition • Where supply is greater than demand Accept any other appropriate response	**(1)**

Question number	Calculate, to two decimal places, the **price elasticity of supply (PES)** for the firm. You are advised to show your working. **Answer**	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation 4.3%/3.7% **(1)** Award 1 mark for correct price elasticity of supply = 1.16 **(1)** Award 2 marks if price elasticity of supply is correctly calculated as 1.16, even if no calculations are shown Do not award marks for a formula	**(2)**

Type MS · Market failure, public goods and free riders

Answer 8 of 10 · Question 1 part i · 6 marks

2023 NOV · Paper 01 · extract 3 of 5 · find part i in this mark scheme extract

Question number	Using the diagram below, draw the likely effects on the market for electric cars following the introduction of a subsidy on electric cars. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	**Mark**
1(g)	**AO2 3 marks** Award 1 mark for a rightward shift of the supply curve, labelled Award 1 mark for a lower equilibrium price, labelled Award 1 mark for a higher equilibrium quantity, labelled 	**(3)**

Question number	Explain **one** possible advantage of privatisation for consumers in Brazil. **Answer**	**Mark**
1(h)	**AO2 3 marks** Award 1 mark for identifying an advantage Award 1 mark for developing the response Award 1 mark for the response being in context • Consumers may benefit from lower prices **(1)** because a private firm is likely to want to be efficient **(1)** so it will aim to produce food at its lowest possible cost **(1)** • Better quality may be available to consumers **(1)** because private firms will aim to make a profit **(1)** meaning they need to retain customers by providing quality food products **(1)** Accept any other appropriate response	**(3)**

Type MS · Market failure, public goods and free riders

Answer 8 of 10 · Question 1 part i · 6 marks

2023 NOV · Paper 01 · extract 4 of 5 · find part i in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse how market failure is likely to occur at the TSFG venue. **Indicative content**
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Market failure exists where resources are not allocated efficiently • Examples of market failure include externalities, missing markets, lack of information, factor immobility and lack of competition • There is a lack of competition selling food and drinks at the TSFG, meaning customers have limited choice of where to buy refreshments inside the grounds • This means higher prices can be charged because customers cannot get refreshments anywhere else • As people spend several hours at the venue, they are likely to need something to eat and/or drink during their visit • Therefore, the high prices and reduced choice leads to an inefficient allocation of resources

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Market failure, public goods and free riders

Answer 8 of 10 · Question 1 part i · 6 marks

2023 NOV · Paper 01 · extract 5 of 5 · find part i in this mark scheme extract

Question number	A firm employing 135 workers has a total output of 33,750 units each month. What is the monthly labour productivity of the firm? **Answer**	Mark

Type MS · Market failure, public goods and free riders

Answer 9 of 10 · Question 4 part b · 6 marks

2024 NOV · Paper 01 · extract 1 of 6 · find part b in this mark scheme extract

4(a)	**AO2 2 marks** Award 1 mark for showing correct calculation (13,600 + 14,200 + 11,700) - 33,000 **(1)** **OR** 39,500 - 33,000 **(1)** Award 1 mark for correct excess demand = 6,500 **(1)** Award 2 marks if excess demand is correctly calculated as 6,500 even if no calculations are shown Do not award marks for the formula	**(2)**

Type MS · Market failure, public goods and free riders

Answer 9 of 10 · Question 4 part b · 6 marks

2024 NOV · Paper 01 · extract 2 of 6 · find part b in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse a possible reason why the market for tourism services is an inefficient allocation of resources. **Indicative content**
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Inefficiency occurs when market failure is/externalities are present • One example of market failure is a lack of information for the consumer • The market for tourism shows visitors to Saint Vincent do not have all the information about prices when booking online before visiting the island • As a result, tourists can pay up to $14 more for a guide than if they waited to obtain all the information once arriving on the island • Therefore, an inefficient allocation of resources occurs in the market

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Market failure, public goods and free riders

Answer 9 of 10 · Question 4 part b · 6 marks

2024 NOV · Paper 01 · extract 3 of 6 · find part b in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, evaluate whether X is likely to benefit from economies of scale. **Indicative content**
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • The number of users of the newly named X increased to a new high of 530 million people within the first year • This means that the (long-run) average costs are likely to be reduced because they are spread over a larger number of users • By creating a platform that enables users to perform multiple tasks, such as messaging, making payments and having food delivered, fewer resources would be needed, leading to lower (long-term) average costs (technical economies) • The cost of developing the advanced technology may be lower for X, as a substantial amount of research/components are likely to be required, possibly leading to purchasing economies • Due to the increase in size, managerial economies may be present as specialist managers could oversee separate functions of X, bringing in specialist expertise and lowering (long-run) average costs • (Long-run) average costs could also be reduced as all tasks could be advertised together, therefore spreading the marketing costs and allowing marketing economies to take place • The takeover cost of $44bn suggests the platform is extremely large, therefore, financial economies are likely because it should be able to get access to money more cheaply than a smaller firm, including to purchase/develop the advanced technology **AO4** • If a firm grows too large, average costs are likely to rise due to diseconomies of scale • The loss of around 65% advertising revenue may reduce X's ability to create the platform envisaged by Elon Musk • Thousands of workers lost their jobs as a result of the purchase by Elon Musk, meaning a decrease in efficiency of remaining workers may be likely if they are worried about losing their jobs too • This means diseconomies of scale may occur as the average costs may increase due to less productive workers • The renaming of the platform from Twitter to X, alongside other major changes may cause further issues for X, such as workers being demotivated • Communication problems and a lack of control may be caused by having such a large firm trying to integrate resources. As the platform relies on technology being used effectively, this may lead to diseconomies of scale

Type MS · Market failure, public goods and free riders

Answer 9 of 10 · Question 4 part b · 6 marks

2024 NOV · Paper 01 · extract 4 of 6 · find part b in this mark scheme extract

	• As the combined number of users is already more than 530 million, the platform may have already reached the most efficient point and the lowest (long-run) average cost • It will take time for the technology to be successfully implemented and so economies of scale may not occur for several years • If users do not agree/like the changes they may move to a competitor • Workers may actually be more productive due to the high number of job losses, as they want to prove worthy of keeping employment. This could help to lower average costs • It may take time to understand the implications of the changes for X and whether economies or diseconomies of scale occur will therefore depend on the outcome

Type MS · Market failure, public goods and free riders

Answer 9 of 10 · Question 4 part b · 6 marks

2024 NOV · Paper 01 · extract 5 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Market failure, public goods and free riders

Answer 9 of 10 · Question 4 part b · 6 marks

2024 NOV · Paper 01 · extract 6 of 6 · find part b in this mark scheme extract

Pearson Education Limited. Registered company number 872828
with its registered office at 80 Strand, London, WC2R 0RL, United Kingdom

Type MS · Market failure, public goods and free riders

Answer 10 of 10 · Question 3 part a · 1 mark

2025 JUN · Paper 01 · extract 1 of 7 · find part a in this mark scheme extract

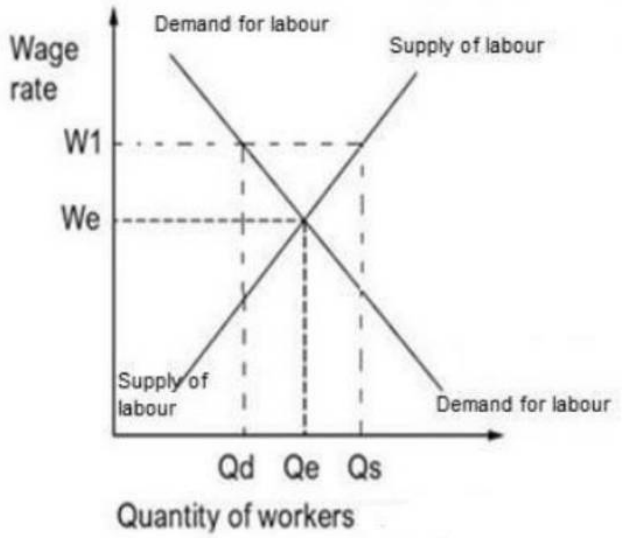
3(a)	**AO1 1 mark** The only correct answer is: **B** Enjoys the benefit of a good but does not pay for it A is not correct because a free rider does not pay for the good C is not correct because a free rider does neither of these D is not correct because a free rider does use the good	**(1)**

Question number	Which **one** of the following is an example of an occupation in the tertiary sector? **Answer**	**Mark**
3(b)	**AO1 1 mark** The only correct answer is: **C** Hotel receptionist A is not correct because this role is in the secondary sector B is not correct because this role is in the primary sector D is not correct because this role produces primary products	**(1)**

Type MS · Market failure, public goods and free riders

Answer 10 of 10 · Question 3 part a · 1 mark

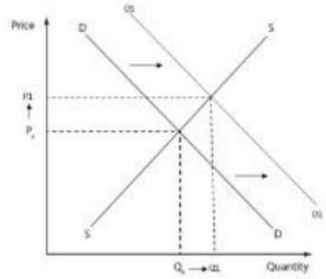
2025 JUN · Paper 01 · extract 2 of 7 · find part a in this mark scheme extract

Question number	Using the diagram below, draw the effect of a minimum wage (W_1) that has been set above the equilibrium wage (W_e). Label the new quantity of labour demanded and the new quantity of labour supplied. **Answer**	Mark
3(c)	**AO2 3 marks** Award 1 mark for drawing the new wage rate, labelled Award 1 mark for the new quantity of labour demanded, labelled Award 1 mark for the new quantity of labour supplied, labelled  	(3)

Type MS · Market failure, public goods and free riders

Answer 10 of 10 · Question 3 part a · 1 mark

2025 JUN · Paper 01 · extract 3 of 7 · find part a in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse how the demand curve for Tennis TV subscriptions might have been affected by Amazon Prime ending its streaming service. **Indicative content**
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • A demand curve shows how much of a good will be purchased at different prices • An increase in the price of substitute goods is one of the factors likely to shift a demand curve to the right • Possible use of a diagram:  • The end of Amazon Prime's streaming service, means the only substitute is the higher priced service from Sky and it may encourage more customers to demand Tennis TV subscriptions instead, therefore increasing demand • The quantity of Tennis TV subscriptions demanded is likely to have increased (from Q_e to Q_1) as a result of the higher priced substitute because customers of tennis subscriptions are likely to want to maximise their benefit by receiving more for their money • Tennis TV may therefore have increased the price of its subscriptions (from P_e to P_1) as a result of the increase in demand

Type MS · Market failure, public goods and free riders

Answer 10 of 10 · Question 3 part a · 1 mark

2025 JUN · Paper 01 · extract 4 of 7 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Market failure, public goods and free riders

Answer 10 of 10 · Question 3 part a · 1 mark

2025 JUN · Paper 01 · extract 5 of 7 · find part a in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess the effectiveness of subsidies in dealing with externalities, such as road congestion. **Indicative content**
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Congestion is an example of a negative externality because it is created by high volumes of traffic and has an external cost, such as pollution, for the people of Sri Lanka • One method of government intervention to reduce negative externalities is to offer subsidies to producers of services, such as SLR providing rail travel • These subsidies will encourage the provision of cheaper and more comfortable rail travel, thus attracting passengers onto the trains and away from the busy roads • The Sri Lankan Government offers these subsidies in an attempt to reduce congestion and therefore reduce the negative externalities to the public in Sri Lanka **AO4** • However, there is no guarantee that the cheaper rail travel will attract people onto the trains, as the existing railway tracks need upgrading and the trains can be overcrowded • This means that rail travel may be uncomfortable, limiting the demand from passengers even with cheaper ticket prices • As SLR has made a loss of Rs 331bn over the last 10 years, the Sri Lankan Government may need to provide a larger subsidy to cover this loss, as well as paying for the upgrade of the rail service • Other policies may be more effective, such as taxation of vehicles on the road • There may be an opportunity cost of providing the subsidies, such as reduced revenue to cover education and/or health care

Type MS · Market failure, public goods and free riders

Answer 10 of 10 · Question 3 part a · 1 mark

2025 JUN · Paper 01 · extract 6 of 7 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Market failure, public goods and free riders

Answer 10 of 10 · Question 3 part a · 1 mark

2025 JUN · Paper 01 · extract 7 of 7 · find part a in this mark scheme extract

Question number	Calculate, to two decimal places, the **percentage change in profit** for the firm between 2021 and 2023. You are advised to show your working. **Answer**	Mark